

23-3c Government Purchases

Government purchases (spending on goods and services by local, state, and federal governments)

measure spending on goods and services by local, state, and federal governments. This component includes the salaries of government workers as well as expenditures on public works. Recently, the U.S. national income accounts have switched to the longer label *government consumption expenditure and gross investment*, but here we will use the traditional and shorter term *government purchases*.

The meaning of government purchases requires some clarification. When the government pays the salary of an Army general or a schoolteacher, that salary is included in government purchases. But when the government pays a Social Security benefit to an elderly person or an unemployment insurance benefit to a recently laid off worker, the story is very different: These are called *transfer payments* because they are not made in exchange for a currently produced good or service. Transfer payments alter household income, but they do not reflect the economy's production. (From a macroeconomic standpoint, transfer payments are like negative taxes.) Because GDP is intended to measure income from, and expenditure on, the production of goods and services, transfer payments are not counted as government purchases.